IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P(CAA)No.57/BB/17
Under Section 230 to 232 of Companies Act, 2013
Order Delivered on: **27th March 2018**

Coram: Hon'ble Shri RatakondaMurali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

IN THE MATTER OF SCHEME OF AMALGAMATION
OF
BELLS SOFTECH LIMITED
AND
SES (INDIA) LIMITED
WITH
ASA HOLDINGS PRIVATE LIMITED
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Bells Softech Limited,
Niton, E-Block, Ground Floor No.11,
Palace Road, Vasanth Nagar,
Bengaluru-560052 - 1st Petitioner/Transferor Company

SES (India) Limited,
Niton, E-Block, Ground Floor No.11,
Palace Road, Vasanth Nagar,
Bengaluru-560052 - 2nd Petitioner/Transferor Company

ASA Holdings Private Limited,
Niton, E-Block, Ground Floor No.11,
Palace Road, Vasanth Nagar,
Bengaluru-560052 - 3rd Petitioner/Transferee Company

For the Petitioner: 1) Mr. V.J Achalanand, Khaitan & Co LLP – Advocates, Simal II Floor, 7/1, Ulsoor Road, Bangalore-42 Advocate for the Petitioner Companies.
2) Ms. Prema Hatti, Standing Counsel for Central Government appearing for ROC & RD
3) Mr. Pramod Kumar, Assistant - Representative for Official Liquidator.

Per: **Hon'ble Shri Ratakonda Murali, Member (Judicial)** – Author

Heard on: 06.10.2017, 17.10.2017, 30.11.2017, 05.01.2018, 02.02.2018, 15.02.2018, 27.02.2018,06.03.2018 & 20.03.2018

COMMON ORDER

This Company Petition is filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereunder **Bells Softech Limited** (1st Petitioner/ Transferor Company) and **SES (India) Limited** (2nd Petitioner/ Transferor Company) are proposed to be merged with **ASA Holdings Private Limited** (Petitioner/Transferee Company) and shall be binding upon all the Shareholders of the Petitioner Companies. The Scheme of Amalgamation is shown as **Annexure-A**.

The averments made in the Company Petition are briefly described hereunder:-

The 1st Petitioner / Transferor Company was incorporated on 1st April 1999 under the name and style of **Bells Softech Limited** under the provisions of the Companies Act, 1956 as a public limited company having CIN No. **U72900KA1999PLC047267**.

The Registered office of the 1st Petitioner/Transferor Company is situated at Niton, E-Block, Ground Floor, No.11 Palace Road, Vasanth Nagar, Bangalore-560052.

The Main Objects of the 1st Petitioner/Transferor Company as set out in its Memorandum of Association inter alia includes, hereunder:

> To engaged in the business of manufacturing producing, designing and selling of computer software, hardware and other computer products, the business of acting as a consultant, advisor and agent with the object of providing computer software and hardware services, and the business of research and development for industry, agriculture, accountancy, business management etc.,

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the 1st Petitioner/Transferor Company are shown as **Annexure-B.**

The Authorised share capital of the 1st Petitioner/Transferor Company as on 31st March, 2017 is Rs 8,00,00,000/- divided into 80,00,000 Equity Shares of Rs 10/- each. The issued, subscribed and paid up share capital of the 1st Petitioner/Transferor Company is Rs 5,00,00,000/- divided into 50,00,000 Equity Shares of Rs 10/- each.

The Audited Balance Sheet as on 31st March, 2017 of the 1st Petitioner/Transferor Company is shown as **Annexure-C.**

The 2nd Petitioner / Transferor Company was incorporated on 3rd May 1984 under the name and style of **SES (India) Limited** under the provisions of the Companies Act, 1956 as a public limited company having CIN No. **U67120KA1984PLC065956.**

The Registered office of the 2nd Petitioner/Transferor Company is situated at Niton, E-Block, Ground Floor, No.11 Palace Road, Vasanth Nagar, Bangalore-560052.

The Main Objects of the 2nd Petitioner/Transferor Company as set out in its Memorandum of Association are, inter alia includes, hereunder:

> To acquire and dealing in immovable properties, the business of acquiring, holding and otherwise dealing with shares, stocks and securities and investing and dealing with such monies, and the business of financiers of industrial commercial and other enterprises and general financiers, film financiers, producers and distributors and exhibitors, money-lenders, trustees etc.,

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the 2nd Petitioner/Transferor Company are shown as **Annexure-D.**

The Authorised share capital of the 2nd Petitioner/Transferor Company as on 31st March, 2017 is Rs 65,00,000/- divided into 6,30,000 Equity Shares of Rs 10/- each and 2,000 preference shares of Rs. 100/- each. The issued, subscribed and paid up share capital is Rs 60,15,900/- divided into 6,01,590 Equity Shares of Rs 10/- each.

The Audited Balance Sheet as on 31st March, 2017 of the 2nd Petitioner/Transferor Company is shown as **Annexure-E.**

The Petitioner/Transferee Company was incorporated on 29th April 2004 under the name and style of **ASA HOLDINGS PRIVATE LIMITED** under the provisions of the Companies Act, 1956 as a Private limited company having CIN No. **U70200KA2004PTC033851.**

The Registered Office of the Petitioner/Transferee Company is situated at at Niton, E-Block, Ground Floor, No.11 Palace Road, Vasanth Nagar, Bangalore-560052.

The Main Objects of the 3rd Petitioner/Transferee Company as set out in its Memorandum of Association inter alia includes, hereunder:

> To build, construct, acquire, purchase or develop any and all kinds of immovable property(ies), commercial complexes, residential premises' apartment buildings, estates, to invest in real estate, properties, plantations, hotels and resorts, service apartments, amusement parks, shopping arcades, eateries, catering enterprises, theme parks, places of tourist interest, farm houses, orchards, groves, land, factories, building and appurtenances, movable or immovable properties of whatever description and nature and for such purpose seek registration/license/permissions or any other approval as may be legally and statutorily required from the reserve Bank of India (RBI), the Securities and Exchange Board of India (SEBI), Stock Exchange (S), Municipal Corporation or other Government authority as may be required under any law and to disinvest, relinquish, sell, lease or otherwise dispose of all such fore mentioned investments, properties and other acquisitions. etc.,

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the Petitioner/Transferee Company are shown as **Annexure-F.**

The Authorised share capital of the Petitioner/Transferee Company as on 31st March, 2017 is Rs 20,00,00,000/- divided into 1,00,00,000 Equity Shares of Rs 10/- each and 10,00,000 preference shares of Rs. 100/- each. The issued, subscribed and paid up share capital is Rs 19,50,00,000/- divided into 1,00,00,000 Equity Shares of Rs 10/- each, fully paid up and 9,50,000 Preference Shares of 100/- each.

The Audited Balance Sheet as on 31st March, 2017 of the Petitioner/Transferee Company is shown as **Annexure-G.**

As per the audited Balance Sheet of the Petitioner Companies as on 31st March, 2017 the Assets and Liabilities are as follows:-

Particular	1st Transferor Company in Rs.	2nd Transferor Company in Rs	Transferee Company in Rs
Share Capital	5,00,00,000	60,15,900	19,50,00,000
Add: Reserves & Surplus	(10,00,026)	7,35,23,717	7,80,00,531
Add: Loss	Nil	Nil	Nil
Net shareholders fund	4,89,99,974	7,95,39,617	27,30,00,531
Assets	5,07,35,226	7,97,03,422	27,43,99,657
Liabilities including loans	17,35,252	1,63,805	13,99,126
Excess of Assets over liabilities	4,89,99,974	7,95,39,617	27,30,00,531
Secured Loans	Nil	Nil	Nil
Unsecured Loans	Nil	Nil	Nil

The Board of Directors of the Transferor Companies and Transferee Company have unanimously passed and approved the Scheme of Amalgamation at their respective meetings held on 1st July 2016 by virtue of which **Bells Softech Limited** (1st Petitioner/ Transferor Company) and **SES (India) Limited** (2nd Petitioner/ Transferor Company) are proposed to be merged with **ASA Holdings Private Limited** (Petitioner/Transferee Company) subject to confirmation. The Copies of the Board Resolution of Transferor Companies and Transferee Company dated 1st July 2016 approving and adopting the Scheme of Amalgamation are shown as **Annexure-H, H1 & H2** respectively.

It is further averred that, the Petitioner Companies had filed Company Applications bearing T.P No.282/17 in C.A No. 643/16, T.P No.283/17 in C.A No. 644/16 and T.P No.284/17 in C.A No. 645/16 before this Tribunal to dispense with convening the meetings of the Equity Shareholders and Preference Shareholders of the respective Petitioner Companies. This Tribunal vide its Order **dated 28th June, 2017** allowed the Company Applications and dispensed with convening the meetings of the Equity Shareholders and Preference Shareholders of the respective Petitioner Companies. The Copies of the said Order dated **28th June, 2017** are shown as **Annexure- P, P1 & P2.**

The Counsel for the Petitioner Companies has filed **Memo dated 28th September 2017** seeking directions to issue notice(s) to Regional Director, South Eastern Region; Registrar of Companies, Karnataka; Official Liquidator; Deputy Commissioner of Income Tax (with Assessment details of the Petitioner Companies), Reserve Bank of India and to issue notice by way of paper publication in "**The Hindu**" English Daily Bangalore Edition and "**Udayavani**" Kannada Daily Bangalore Edition.

This Tribunal vide Order dated 17th October, 2017 directed the Petitioner Companies to issue Notice to Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad; Registrar of Companies, Karnataka; Official Liquidator and Deputy Commissioner of Income Tax (with Assessment details of the Petitioner Companies), Reserve Bank of India and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**UdayaVani**', a Kannada daily Newspaper and stating the next date of hearing as 30th November 2017.

In pursuant to the same the Counsel for the Petitioner Companies has filed the **Compliance Affidavit dated 28th November 2017** of the respective Authorised Signatories of the Petitioner Companies for carrying out the Advertisement of the Company Petition and issuance of notices to the above said Authorities. The Copies of Paper Publication are shown as **Document 3** and copies of notice(s) to the above said authorities are shown as **Document 1 collectively.**

The Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad has filed its **Affidavit dated 1st December, 2017** has made the following observations that:

a) The first transferor company and second transferor company have breached the asset and income thresholds under section 45-IA of the RBI Act 1934 and have not obtained registration from RBI leading to violation of that Act. These companies shall obtain compounding of the said offence or '**No Objection Certificates**' from RBI for their dissolution without winding up.
b) First transferor and transferee companies have been in violation of section 203 of the companies Act, 2013 for non-appointment of a qualified company secretary and the said offences shall be regularized.
c) The second transferor company had invested Rs 6,12,54,000/- in a company in which its Key Managerial personnel were interested. This investment requires compliance of Section 186 of the Companies Act, 2013 which does not appear to have been carried out. Hence, the second transferor company may be asked to explain compliance with documentary evidence or in the alternative, obtain compounding of offence as it is proposed to be dissolved without winding up.

d) The Reserve Bank of India, Bangalore vide its letter No. 1882/21.06.000/2017-18 dated 30.11.2017 (copy enclosed) has stated that "any cross border transaction related to a Scheme of arrangement or amalgamation undertaken under the Companies Act, 2013 should conform to provisions under FEMA, 1999."
e) The present authorized share capital of transferee company is Rs 20,00,00,000/- and on clubbing of authorized capital of transferor 1 and 2, the same shall become Rs 28,65,00,000/-. Hence, clause 14.1 of the scheme needs clarification/modification.
f) Clause 11.4 of the scheme states that in the event that the transferee company restructures its equity capital by way of share split/consolidation /issue of bonus shares during the pendency of the scheme, the share exchange ratio shall be adjusted accordingly to take into account the effect of any such corporate actions. Any such action by the Transferee Company may warrant change in the share exchange ratio requiring a fresh valuation report to be obtained by the petitioner companies.

On the prayer made by the Official Liquidator in OLR No.17/2018 in **C.P. (CAA) No. 57/BB/2017**, vide Order dated 23rd August, 2017 of this Tribunal, the Official Liquidator appointed Shri Krishna Prasad B.K, Chartered Accountant to scrutinize the Books of Accounts and records of the Petitioner/Transferor Companies.

The said Chartered Accountant filed his Report and pursuant to the same, the Official Liquidator has filed a Report in OLR.No.17/18 in **C.P (CAA) No. 517/BB/2017 dated 31st January 2018** stating that Shri Krishna Prasad B.K, Chartered Accountant has submitted Report dated 29th January 2018 and has concluded in his Report as under:

"we have obtained all the information and explanation, which to the best of our knowledge and belief were necessary for the purpose of this report and based on the same we report that:

i) The companies has maintained proper books and records;
ii) That the affairs of the companies have not been conducted in a manner prejudicial to the interests of the members or the public interest."

Copy of Report of Chartered Accountant dated 29th January 2018 is shown as **Annexure A & B** respectively with this Report.

Thus relying on the Report dated 29th January 2018 of Chartered Accountant, the Official Liquidator is of the opinion that the petition may be disposed off on its own merit after hearing the objections if any by other sectoral regulator and Transferor Companies may be dissolved without winding up by this Hon'ble Tribunal.

The Counsel for the Petitioner Companies has filed an Affidavit dated 14th February 2018 of the Authorised Signatory of the Petitioner Companies in response to the observations made by the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad through the Registrar of Companies, Karnataka, Bangalore:-

1) Pursuant to the order dated 17th October 2017 passed by the Hon'ble Tribunal, the RBI was served with a copy of entire petition (alongwith all annexures) on 3rd November 2017. A copy of RBI's acknowledgement of receipt was also filed by the Petitioner Companies with this Hon'ble Tribunal vide its Affidavit dated 30th November 2017. It is important to note that the RBI has, in response to the Petition, not raised any objection. In this regard, the Petitioner Companies would like to direct the kind attention of this Hon'ble Tribunal to the provisions of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 ("Companies Amalgamation Rules") Rule 8 of the Companies Amalgamation Rules provides for provisions relating to service of notice to statutory authorities and Sub-rule 3 of Rule 8 provides as follows:

> "If the authorities referred to under sub-rule (1) desire to representation under sub-section (5) of section 230, the same shall be sent to the Tribunal within a period of thirty days from the date of receipt or such notice and copy of such representation shall simultaneously be sent to the concerned companies and in Case no representation is received within the stated period of thirty days by the Tribunal, it shall be presumed that the authorities have no representation to make on the proposed scheme of compromise or arrangement".

ii) The Petitioner Companies submit that, it has been more than 3 (three) months since notice of the petition was duly served upon the RBI and they have not made any representation. Hence, as provided in Rule 8 of the Companies Amalgamation Rules, this Hon'ble Tribunal is required to draw inference that the RBI has no representation/objection to make in the present case and should proceed with the amalgamation proceedings;

iii) Further, the Petitioner Companies state that the RBI had, vide letter dated 9th August 2017, already provided its NOC to the Transferee Company i.e., ASA Holdings Private Limited, exempting it from obtaining registration as an NBFC under the RBI Act, 1934 for the financial year 2016-17. A copy of the said RBI letter dated 9th August 2017 is shown herewith as Annexure-1. The Transferee Company further submits that, it shall ensure not to qualify as an NBFC post the merger and undertakes to apply for and obtain registration from the RBI immediately in case it qualifies as an NBFC post the proposed merger. The Petitioner Companies further undertake to compound the non-compliance of the Transferor Companies if and when required by the RBI, and on the above undertaking prays this Hon'ble Tribunal to approve the Scheme of Amalgamation.

iv) Lastly, the Petitioner Companies state that the first and second Transferor Companies are pursuant to the merger, proposed to be dissolved without winding up. Hence obtaining NBFC registration from the RBI would not be required post the proposed merger.

v) Response to observation (b) the Petitioner Companies note that the ROC has, in its report, directed the first Transferor and the transferee Company to appoint a qualified company secretary and regularize its offence under section 203 of the companies Act, 2013. The Petitioner Companies state that the first Transferor and the transferee Company have, as directed, duly appointed a Company Secretary with effect from 19th January 2018. The Petitioner Companies further confirm that the first Transferor and the Transferee Company have also duly made relevant filings with the Ministry of Corporate Affairs (MCA) in this regard and have thus regularized the same. Copies of the acknowledgements for the above filings with the MCA are shown as Annexure-2.

vi) Response to observation (c) the Petitioner Companies state that the Second Transferor Company had invested Rs. 6,12,54,000 in companies in which its Key Managerial Personnel were interested in, by way of acquiring shares in the said companies, details of which are as follows -

Sl. No.	Particulars	No. of shares	Value of shares (Rs.)
1	ASA Holdings Pvt. Ltd.	3350000	3,3,5,00,000
2	Bikanna Commercial Co Ltd.	54500	6,54,000
3	NEO Foods Pvt. Ltd.	1500000	1,95,00,000
4	Park view Properties Pvt. Ltd.	70000	49,00,000
5	PCI Marketing Pvt. Ltd.,	3000	27,00,000
Total Value of Shares			**6,12,54,000**

The Petitioner Companies confirm that the above transactions were approved and authorised by the Board of Directors of the Second Transferor Company vide Resolution passed on 3rd February 2010. A certified copy of the said board Resolution is shown as **Annexure-3**.

vii) Response to observation (d)- The Petitioner Companies understand that any cross border transaction related to a scheme of amalgamation should confirm to the provisions of FEMA, 1999. The Petitioner Companies state that there no cross border transactions contemplated under the scheme and the shareholders of the Petitioner Companies are all resident of Indian.

viii) Response to observation (e)- The Petitioner Companies understand that the present authorized share capital of transferee company, post the proposed merger, will be Rs 28,65,00,000/- and notes that Para 14.1 of the scheme of amalgamation states the same as Rs 28,15,00,000/- instead. The Petitioner Companies submit that the above issue is a typographical error and the authorized share capital of Transferee Company, post the proposed merger, mentioned in Para 14.1 of the scheme, shall be modified and corrected as Rs 28,65,00,000/- divided into 1,86,30,000 equity shares of Rs 10/- each and 10,02,000 preference shares of Rs. 100/- each. The Petitioner Companies requested the Hon'ble Tribunal to consider the revised figures while approving the Scheme of Amalgamation.

ix) Response to observation (f)- The Petitioner Companies understand that in the event the Transferee Company restructures its equity capital by way of share split, consolidation or issue of bonus shares during the pendency of the Scheme, the share exchange ratios would need to be adjusted accordingly. In this regard, the Petitioner Companies confirm and submit that the Transferee Company has not restructured its equity capital by way of share split, consolidation or issue of bonus shares during the pendency of the Scheme.

KHAITAN &CO LLP
Advocates since 1911

राष्ट्रीय कम्पनी विधि अधिकरण, बेंगलुरु
28 MAR 2018
1446
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The Registrar,
National Company Law Tribunal
Bangaluru

27 March 2018

Respected Sir,

Sub: Certified Copy of CP/CAA/57/BB/2017 - In the Matter of Bells Softech Limited and Others.

With respect to the captioned subject we request you to provide us ***three copies*** of the certified copy of order dated 27 March 2018 in CP/CAA/57/BB/2017. As the present matter is filed under Sections 230 to Section 232 of the Companies Act 2013, and in order to file the copies of the Order allowing merger with the Registrar of Companies the Petitioners require three Copies of the Order.

Applicable fee of Rs. 200/- is paid.

Bengaluru

Advocate for Petitioners

KHAITAN & CO LLP
Advocates & Notaries
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7/1, Ulsoor Road,
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Received
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The Counsel for the Petitioner Companies has filed the copy of Accounting Treatment Certificate of the Chartered Accountant **dated 18th April, 2017** stating that the Accounting Treatment contained in the Scheme of Amalgamation is in conformity with the Applicable Accounting Standards under Section 133 of the Companies Act, 2013.The Copy of the Accounting Treatment Certificate of the Chartered Accountant **dated 21st March, 2017** is shown as **Annexures-K, K1 & K2.**

We have gone through the explanation given by the Petitioner Companies to the observations made by the Regional Director and we are satisfied with the explanation given by the Petitioner Companies and further Transferee Company undertakes to rectify the typographically error occurred at Para 14.1 of the Scheme of Amalgamation as pointed out by the Regional Director with regard to the Authorised Share Capital before implementing the scheme. Therefore, the scheme can be approved subject to the undertaken given by the Transferee Company through explanation given to the observations of the Regional Director. Therefore, there is no impediment to approve the scheme. The explanation further proves that, there are no Foreign Shareholders and there is no cross border transactions contemplated under the scheme. In the light of the explanation given we are of the view that, the scheme can be approved.

After hearing the Counsel for the Petitioner Companies and considering the material on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Petitioner Companies therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

Before implementing the scheme, the Transferee Company to rectify the typographical error at Para 14.1 of the scheme as per undertaking.

All the proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2016.

The Transferor Companies or its authorised signatory is directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Companies to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply the Tribunal in the above matter for any directions that may be necessary.

27/3

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

27/3/17

(RATAKONDA MURALI)
MEMBER, JUDICIAL